structure where the public trusts the central bank to do the right thing. This then is why we need a trusted independent central bank.

CENTRAL BANK INDEPENDENCE

In this environment, where the central bank has to occasionally stand firm against the highest echelons of central and state government, recall the words of my predecessor, Dr Subbarao, when he said 'I do hope the Finance Minister will one day say, "I am often frustrated by the Reserve Bank, so frustrated that I want to go for a walk, even if I have to walk alone. But thank God, the Reserve Bank exists."' I would go a little further. The Reserve Bank cannot just exist, its ability to say 'No!' has to be protected. At the same time, the central bank cannot become free of all constraints, it has to work under a framework set by the government. This requires a number of actions.

OUTLINE RESPONSIBILITIES OF THE RBI

When the responsibilities of the RBI are fuzzy, its actions can continuously be questioned. Instead, if the constitutional authorities outline a framework for the responsibilities of the RBI, it can take actions consistent with those responsibilities and be held to outcomes. The inflation objectives recently set for the RBI by the government are an example of what is needed. Critics can lambast the RBI if it fails continuously to meet the objectives, but if they want it to lower interest rates even when the RBI barely meets its objectives, they should instead petition the government to change the objectives.

Similarly, the RBI Board has adopted a risk-management framework which indicates the level of equity the RBI needs, given the risks it faces. The dividend policy of the RBI then becomes a technical matter of how much residual surplus is available each year after bolstering equity. Frameworks thus reduce the space for differences.